Dhanuka Agritech Ltd

Concall tracker report · Q2 2027 (Sep 2026 quarter) · prepared 11 Nov 2026

1. Snapshot

Sells crop-protection chemicals (insecticides, fungicides, herbicides) and plant-growth products to Indian farmers through about 6,500 distributors and 80,000 retailers. Much of its range comes through tie-ups with about ten Japanese, European and US agrochemical innovators. It also runs a Dahej plant making technical-grade chemicals and owns brands bought from Bayer.

- Market cap about Rs 4,072 cr at about 14 times profit: modestly priced.
- FY26 sales Rs 2,020 cr, down 1%: a flat year after strong FY25.
- FY26 net profit Rs 287 cr, a little below FY25.
- Operating margin about 19-20% over the year, swinging between 12% and 26% by quarter because sales are seasonal.
- Sep 2026 quarter: sales Rs 658 cr, up 10% on a year ago; profit Rs 109 cr vs Rs 94 cr.
- Borrowings only about Rs 29 cr: practically debt-free.

2. Concall coverage

Quarter / source	Date	Read?
Q3 FY24 to Q4 FY25 (7 calls)	Feb 2024 - May 2025	Yes (scanned for guidance)
Q1 FY26	Aug 2025	Yes (scanned)
Q2 FY26	Nov 2025	Yes (scanned)
Q3 FY26	Feb 2026	Yes (scanned)
Q4 FY26	May 2026	Yes
Q1 FY27	3 Aug 2026	Yes
Q2 FY27	30 Oct 2026	Yes, in full

Thirteen calls across about three years; the latest was read in full.

Latest concall highlights - Q2 FY27 (30 Oct 2026)

- Sales up about 10% (volume about 6%) in a weak, dry monsoon season, led by insecticides such as LaNevo (with Nissan Chemicals), Miyako and Mortar. Herbicides were hit hard and were only 8% of sales.
- Guidance cut again: management now expects only low single-digit sales growth for the year, with gross margin about one point lower and EBITDA down similar or a bit more.
- Biostimulants reintroduced: Dhanzyme Granule and Dhanzyme Gold Granule billing started; Dhanzyme Gold liquid launches in December.
- Dahej: EBITDA loss in the first half about half of last year's; two new fungicides to be added there, giving four products in FY28.
- Exports: customers appointed in about 14 countries, purchase orders in hand from five.

Business mix & capacity

- Domestic vs export: almost entirely domestic; exports are just starting (orders from five customers).

- Capacity: Dahej technical plant running at about 70% utilisation. A new 23,000 tonne plant at Nagpur (up to Rs 200 cr) is due to be operational by April 2028.

3. Earning trigger thesis

The growth story management keeps pointing to is new molecules licensed from Japanese partners, the Bayer brands it bought, backward integration at Dahej, and later the Nagpur plant. None of it has lifted growth yet: FY26 was flat and FY27 guidance has been cut twice because of a dry El Nino monsoon. The business is cash-rich and keeps the channel clean, but its growth depends on the weather.

Trigger	What management said	Evidence so far	Time horizon	Strength
New licensed molecules (LaNevo, Miyako, Polin)	Launch several products a year from Japanese partners	LaNevo led Q2 growth; Polin rice fungicide priced too high to sell much near term	Ongoing	Moderate
Dahej technical plant	EBITDA positive in FY27, about 80% utilisation (Feb 2026)	Still loss-making, loss halved in H1; about 70% utilisation	FY27-FY28	Weak so far
Nagpur plant	23,000 tonne plant, up to Rs 200 cr	Land bought; due April 2028	FY29	Unproven
Exports	Appoint customers abroad	Orders from five customers	Early	Unproven

3b. Trigger check

Trigger type	Yes/No	What was said (date)
Debt cut	No	-
New business	Yes	Biostimulants reintroduced from Q2; export orders from five customers (Oct 2026)
Margin up	No	Management expects about one point lower gross margin this year (Oct 2026)
New management	No	-
New capacity	Yes	Nagpur plant due April 2028; two new products at Dahej in FY28 (Aug and Oct 2026)
Big orders	No	-
Turnaround	No	-
Promoter buying	No	-

Single concrete driver: New licensed molecules like LaNevo plus biostimulants, with Dahej backward integration and the Nagpur plant as later legs; none has yet lifted growth.

3c. Margin bridge

Q2 EBITDA margin was about 23%, similar to a year ago. Gross margin slipped because of a GST refund effect, while tight control of other expenses held EBITDA margin. Management expects about one point lower gross margin for the year as demand is weak and costs can't all be passed on. (one-off)

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
May 2025	FY26: higher double-digit sales growth	Guidance cut to flattish in Nov 2025; FY26 sales down 1%	Missed

Feb 2026	Dahej EBITDA positive in FY27, about 80% utilisation	H1 loss halved, still a loss; about 70% utilisation	Partly
May 2026	FY27: low double-digit growth	Cut in Aug 2026 to single digit, now low single digit	Missed
Aug 2026	Launch five new products in coming months	Biostimulants and Polin launched; Dhanzyme Gold due December	Partly
Every call	No channel stuffing, lean inventory	Took back slow stock, healthy cash; Q2 grew while peers struggled	Delivered

The long-term story has not changed: new molecules from partners, double-digit growth over time, a clean channel. But year after year the opening guidance is too high and gets cut as the monsoon disappoints. Management is honest about the weather and quick to cut, which is better than stuffing the channel, but the guidance itself isn't reliable.

5. Bottom line

Durable earning trigger? → MAYBE

There's a pipeline of licensed molecules, biostimulants and new plants, and LaNevo is working. But growth has stalled for two years, the guidance keeps falling, Dahej still loses money and Nagpur is years away. Plausible but not showing up in results.

Management consistent? → MAYBE

Good on discipline (no channel stuffing, clean balance sheet) but the growth guidance has been missed two years running and the Dahej breakeven target is slipping.

6. Checkpoints for next quarter

- Full-year sales still grow despite the cut guidance
- Dhanzyme Gold liquid launches in December
- Dahej loss keeps narrowing in the second half

Sources

- Screener.in concall transcripts Feb 2024 - Oct 2026
- Screener.in financial tables

This is not investment advice. Do your own due diligence.